

Contract Review Report

Kalb Construction + BLAK Development

Contract format: CONSENSUSDOCS | Total issues: 18 | Sections analyzed: 23

Executive Summary

1. The contract requires a lien waiver before payment, which is not allowed under Nevada law and could jeopardize your rights. This needs to be addressed to ensure compliance and protect your interests.

Urgency Must Fix Before Signing | Section 10.2.3 | Category NRS

2. The indemnity clause unfairly requires you to cover the owner's negligence, which is not standard practice. This could expose you to unnecessary financial risk.

Urgency Must Fix Before Signing | Section 11.1 | Category Owner-Favored

3. The contract allows for retainage without specifying a maximum percentage, which could lead to cash flow issues. It should clearly state that retainage will not exceed 5%.

Urgency Must Fix Before Signing | Section 10.2.4 | Category NRS

4. The liquidated damages clauses impose penalties for delays without considering factors outside your control. This could lead to significant financial penalties that are not justified.

Urgency Should Negotiate | Section 6.5.1 | Category Liquidated Damages

5. The arbitration clause may limit your ability to pursue claims in court, which could restrict your legal rights. It's important to ensure you retain the right to seek legal recourse.

Urgency Should Negotiate | Section 13.4.1 | Category NRS

Nevada / NRS Legal Issues

Page 29 | Section 10.2.3 | Severity **High** | Confidence High | NRS NRS 108.2453

Heading: LIEN WAIVERS AND LIENS

Summary: The contract requires a partial lien waiver as a prerequisite for payment.

Why problem: NRS 108.2453 prohibits requiring a lien rights waiver before payment, which could invalidate this provision.

Proposed fix: Remove the requirement for a partial lien waiver as a prerequisite for payment.

Page 24 | Section 6.7 | Severity **Medium** | Confidence Medium | NRS -

Heading: LIMITED MUTUAL WAIVER OF CONSEQUENTIAL DAMAGES

Summary: The contract includes a mutual waiver of consequential damages.

Why problem: While waivers are common, they may limit recovery for damages that could arise from delays or other issues, which could be problematic under Nevada law.

Proposed fix: Clarify that the waiver does not apply to damages arising from delays or other significant issues.

Page 10 | Section 10.2.4 | Severity **High** | Confidence High | NRS NRS 624.609

Heading: RETAINAGE

Summary: The contract allows for retainage but does not specify a maximum percentage.

Why problem: NRS 624.609 limits retainage on private contracts to a maximum of 5%, and this provision may not comply with that requirement.

Proposed fix: Specify that retainage shall not exceed 5% of any progress payment.

Page 34 | Section 11.5 | Severity **Medium** | Confidence Medium | NRS NRS 108.2453

Heading: ROYALTIES, PATENTS, AND COPYRIGHTS

Summary: The contract requires Constructor to pay all royalties and license fees.

Why problem: This could impose an undue burden on the Constructor, especially if the Owner specifies patented materials, which may not be fully compliant with NRS 108.2453.

Proposed fix: Clarify that the Owner is responsible for any royalties or license fees associated with materials specified by them.

Page 38 | Section 12.4.2 | Severity **High** | Confidence High | NRS NRS 624.609

Heading: Termination by Owner for Convenience

Summary: The contract allows for a termination premium of 0%, which may not comply with Nevada law.

Why problem: NRS 624.609 requires that retainage on private contracts cannot exceed 5% of any progress payment, and the lack of a premium could lead to financial loss for the contractor.

Proposed fix: Revise the termination premium to be at least 5% of the total contract value.

Page 40 | Section 13.4.1 | Severity **Medium** | Confidence Medium | NRS NRS 108.2453

Heading: Arbitration

Summary: The arbitration clause may limit the contractor's rights to pursue claims in court.

Why problem: NRS 108.2453 prohibits waiving lien rights and other legal rights, which could be impacted by mandatory arbitration.

Proposed fix: Include language that preserves the contractor's right to pursue lien claims in court despite the arbitration clause.

Page 39 | Section 12.5.1 | Severity **Medium** | Confidence Medium | NRS NRS 624.622, NRS 624.628

Heading: Constructor's Right to Terminate

Summary: The clause allows termination after 30 days of work stoppage, which may not align with prompt payment rights.

Why problem: NRS 624.622 and 624.628 state that prompt payment rights cannot be waived, and this clause could be interpreted as a waiver.

Proposed fix: Clarify that the right to terminate does not affect the contractor's prompt payment rights under Nevada law.

Owner-Favored Clauses

Page 33 | Section 11.1 | Severity **High** | Confidence High

Heading: INDEMNITY

Summary: The indemnification clause requires the contractor to indemnify the owner for claims arising from the owner's own negligence.

Why problem: This places an unfair burden on the contractor, as they are responsible for indemnifying the owner even for the owner's negligent actions.

Proposed fix: Revise the indemnification clause to exclude indemnification for the owner's own negligence.

Page 24 | Section 6.5.1 | Severity **High** | Confidence High

Heading: SUBSTANTIAL COMPLETION

Summary: The liquidated damages clause imposes penalties on the contractor for delays beyond the substantial completion date.

Why problem: This clause can lead to significant financial penalties for the contractor without considering the reasons for the delay, which may be outside their control.

Proposed fix: Remove the liquidated damages clause or include provisions for equitable adjustments based on delays caused by the owner or other factors.

Page 24 | Section 6.5.3 | Severity **High** | Confidence High

Heading: FINAL COMPLETION

Summary: The liquidated damages clause for final completion imposes penalties on the contractor for delays beyond the final completion date.

Why problem: Similar to the substantial completion clause, this can unfairly penalize the contractor for delays that may not be their fault.

Proposed fix: Remove the liquidated damages clause or include provisions for equitable adjustments based on delays caused by the owner or other factors.

Page 29 | Section 10.2.4 | Severity **Medium** | Confidence Medium

Heading: RETAINAGE

Summary: The retainage clause allows the owner to retain more than 5% of the payment until project completion.

Why problem: This can create cash flow issues for the contractor, especially if the retainage is uncapped or exceeds standard limits.

Proposed fix: Limit retainage to a maximum of 5% and ensure it is released promptly upon substantial completion.

Page 24 | Section 6.7 | Severity **Medium** | Confidence Medium

Heading: LIMITED MUTUAL WAIVER OF CONSEQUENTIAL DAMAGES

Summary: The waiver of consequential damages disproportionately favors the owner by excluding their potential losses.

Why problem: The contractor waives significant claims while the owner retains the right to claim consequential damages, creating an imbalance.

Proposed fix: Revise the waiver to ensure mutuality in the waiver of consequential damages, protecting both parties equally.

Page 10 | Section 10.3 | Severity **Medium** | Confidence Medium

Heading: ADJUSTMENT OF CONSTRUCTOR'S PAYMENT APPLICATION

Summary: The owner has broad rights to adjust or reject payment applications without clear limitations.

Why problem: This can lead to arbitrary withholding of payments, creating financial instability for the contractor.

Proposed fix: Include specific criteria and limitations for when the owner can adjust or reject payment applications.

Page 38 | Section 12.4 | Severity **High** | Confidence High

Heading: TERMINATION BY OWNER FOR CONVENIENCE

Summary: Owner can terminate the contract for convenience without compensating the contractor for lost profits.

Why problem: This clause allows the owner to terminate the contract at any time without cause, leaving the contractor with no recovery for lost profits on work not performed.

Proposed fix: Include a provision that allows the contractor to recover lost profits on work not performed if terminated for convenience.

Page 37 | Section 12.1 | Severity **Medium** | Confidence Medium

Heading: SUSPENSION BY OWNER FOR CONVENIENCE

Summary: Owner can suspend work for convenience without compensation for lost profits.

Why problem: This clause allows the owner to suspend work without any obligation to compensate the contractor for the impact of the suspension, potentially leading to financial losses.

Proposed fix: Add a provision that compensates the contractor for lost profits and additional costs incurred due to suspension for convenience.

Page 39 | Section 12.3.1 | Severity **High** | Confidence High

Heading: TERMINATION BY OWNER FOR DEFAULT

Summary: Owner can terminate the contract and hold the contractor liable for costs exceeding the unpaid GMP.

Why problem: This clause places the financial risk of any cost overruns solely on the contractor, even if the overruns are due to factors outside their control.

Proposed fix: Limit the contractor's liability to the unpaid GMP and exclude liability for costs incurred due to owner-directed changes or delays.

Page 34 | Section 11.3.5 | Severity **High** | Confidence High

Heading: Indemnification

Summary: Broad indemnification clause requiring the contractor to indemnify the owner for the owner's own negligence.

Why problem: This clause unfairly shifts the risk of the owner's negligence onto the contractor, which is not standard practice in construction contracts.

Proposed fix: Revise the indemnification clause to exclude indemnification for the owner's own negligence.

Page 40 | Section 13.4.3 | Severity **Medium** | Confidence Medium

Heading: COSTS

Summary: Costs of dispute resolution procedures are borne by the non-prevailing party.

Why problem: This clause may deter the contractor from pursuing legitimate claims due to the risk of incurring significant costs if they do not prevail.

Proposed fix: Revise to allow for shared costs of dispute resolution or to limit the contractor's exposure to reasonable costs only.

Insurance Requirements

No insurance gaps identified.

Liquidated Damages

Page 24 | Section 6.5.1 | Rate blank | Confidence High

Heading: 6.5.1 SUBSTANTIAL COMPLETION

Trigger: Substantial Completion date not attained

LD summary: Liquidated damages shall be imposed after a 30-Day grace period for each day that Substantial Completion extends beyond the Substantial Completion date.

Cap: none stated

Grace period: 30 Days

Extensions available: True

Sole remedy: True

Page 24 | Section 6.5.2 | Rate blank | Confidence Medium

Heading: 6.5.2 FINAL COMPLETION

Trigger: Final Completion date not attained

LD summary: Liquidated damages based on the Final Completion date shall not apply.

Cap: none stated

Grace period: none

Extensions available: False

Sole remedy: -

Page 24 | Section 6.5.3 | Rate blank | Confidence High

Heading: 6.5.3

Trigger: Final Completion date not attained

LD summary: Constructor agrees to pay liquidated damages for each day that Final Completion extends beyond the Final Completion date.

Cap: none stated

Grace period: none

Extensions available: False

Sole remedy: True

Page 24 | Section 6.7 | Rate blank | Confidence Medium

Heading: 6.7 LIMITED MUTUAL WAIVER OF CONSEQUENTIAL DAMAGES**Trigger:** none**LD summary:** Parties agree to waive all claims for consequential damages except for mutually agreed upon liquidated damages.**Cap:** none stated**Grace period:** none**Extensions available:** False**Sole remedy:** -

Page 38 | Section 12.3.1 | Rate blank | Confidence High

Heading: TERMINATION BY OWNER FOR DEFAULT**Trigger:** Expiration of the second notice period to cure**LD summary:** If Owner's costs arising out of Constructor's failure to cure exceed the unpaid GMP, Constructor shall be liable to Owner for such excess costs.**Cap:** none stated**Grace period:** none**Extensions available:** False**Sole remedy:** False

Recommended Contract Revisions

1. Remove

Section 10.2.3

2. Revise

Section 11.1

3. Specify

Section 10.2.4

4. Negotiate

Section 6.5.1

5. Include

Section 13.4.1

6. Remove

Section 6.5.3